An attempt by both New Delhi and Islamabad to arrest the slide in relations in late 1991 and 1992 proved unsuccessful. In December 1992, the demolition of the Babri Masjid mosque in Ayodhya saw reprisals in Pakistan, including the destruction of over 120 temples, as well as churches and gurdwaras. [19] After a series of bomb blasts in Mumbai in March 1993, its planners—including Dawood Ibrahim, the leader of organized crime syndicate D-Company—were found to have sought sanctuary in Karachi, and Pakistan's Inter-Services Intelligence (ISI) was assessed to have had a role in planning and executing the attacks. In October, terrorists stormed the sacred Hazratbal Mosque in Srinagar resulting in a siege by Indian forces, one that was eventually resolved peacefully. [20] But from this point onwards, the Kashmir dispute and Pakistan-supported infiltration and terrorism began to dominate the India–Pakistan agenda.

The BJP emerged as the largest party in the 1996 elections. But after its leader Atal Bihari Vajpayee lost a vote of no confidence in Parliament, the coalition governments of prime ministers H.D. Deve Gowda and I.K. Gujral between 1996 and 1998 proved short-lived. This period was notable for one development: the so-called Gujral Doctrine. Gujral—like Rao and Vajpayee—had previously served as external affairs minister and had occasionally clashed with his colleagues for what were seen as 'dovish' views, particularly on Pakistan. As part of Deve Gowda's cabinet, he outlined a series of five principles for his government's neighbourhood policy that he would continue to espouse as prime minister. These included non-reciprocity, a shared commitment in South Asia not to allow territory to be used against others' interests, non-interference, mutual respect for territorial integrity and sovereignty, and the peaceful bilateral settlement of disputes. These principles did resonate positively with Bangladesh, with which India had had more difficult relations since 1977 and enabled some repair in ties. Certain elements of the Gujral Doctrine also found favour with subsequent governments. However, the Gujral Doctrine was also widely criticized in India for being unrealistic and ignoring security concerns and differences between India and its neighbours, particularly Pakistan. [21]